TELANGANA

FEDERAL FREEZE

By Amarnath K. Menon

The Reserve Bank of India (RBI)'s refusal to allow Telangana to participate in the auction of securities for open market borrowings since April 1 has stalled the state government's proposal to raise Rs 59,672 crore through such auctions and off-budget borrowings (OBBs) in 2022-23. This will make it difficult for the state to fund its flagship welfare schemes at a time when the ruling Telangana Rashtra Samithi (TRS) is preparing for the assembly poll in December 2023.

The Centre has been unhappy with Telangana's replies on the loans it had been raising by giving bank guarantees for staggering sums drawn in the name of state-owned corporations. It therefore halted the auction of Telangana bonds in 2022-23, contending that the economy could crumble if states conceal facts on indirect loans taken on behalf of corporations and subsequent repayments. Though the corporations are supposed to repay the loans, there are instances of the state—the guarantor—stepping in to clear the debts.

Highlighting how some states were borrowing above the Fiscal Responsibility and Budget Management (FRBM) Act limit via corporations by giving bank guarantees, Union finance secretary T.V. Somanathan said the Centre would count such guarantees as part of the FRBM calculation. The Union finance ministry and the Comptroller and Auditor General of India's reports flagged the borrowings, especially by newly created state corporations. Outstanding guarantees amount to 11.7 per cent of the GSDP for Telangana, the highest, followed by 9.7 per cent for Andhra Pradesh. Telangana contends that as the loans taken by the corporations were spent on creating assets, they cannot be included in the state debt. "The Centre is treating OBBs as debt even though the Finance Commission did not make any such recommendation," says Telangana's special chief secretary K. Ramakrishna Rao.

Telangana has created several special purpose vehicles and entities, including the Kaleshwaram Irrigation Project Corporation Limited, the Telangana State Water Resources Infrastructure Development Corporation, and the Telangana Drinking Water Supply Corporation. More than 90 per cent of the expenditure so far on the Kaleshwaram and Bhagiratha schemes—Rs 1.05 lakh crore at the end of 2021-22—were mobilised as OBBs using bank guarantees. The state proposes to raise another Rs 40,000 crore as OBBs in 2022-23.

The Centre, however, wants to treat the overall OBBs as state debt and allow auction of bonds in the open market to raise fresh loans in 2022-23 only for the remaining portion of what the state is eligible for under the FRBM Act, according to which the debt burden should not exceed 25 per cent of the state's GDP.

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Telangana's total debt burden, including budget and OBBs, will increase to Rs 4.75 lakh crore by the end of 2022-23, including Rs 1.45 lakh crore OBBs.

The TRS, which sees welfare schemes like Rythu Bandhu and Dalit Bandhu as vote-spinners, is worried that a restricted fund flow will not allow it to reapportion resources ahead of the assembly election. No wonder the state government considers the Centre's stand on OBBs as partisan and the loan freeze as a vindictive measure towards a "performing" state.

Facing the loan freeze and cash crunch, Telangana has to increase its revenues, which is a Herculean task. It is also looking at raising excise levies and auctioning government lands. The 2022-23 state budget of Rs 2.56 lakh crore, presented by state finance minister T. Harish Rao in early March, is said to be a bloated one. It is a stretch to think